Lam Research Corp (LRCX)

Etch Dominance

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*Etch Dominance. Lam is the undisputed leader in memory etch for 3D NAND (300+ layers). Gross margin of 51.7% [10-Q Q4 FY26] and operating margin of 37.4% reflect pricing power. AI Capex Tailwind. WFE raised to $150B for 2026 [8-K guid]. Advanced packaging growing 50%+ YoY. Lam expects a third straight year of beating WFE growth. Price Defies Math. At $264 [Mkt 16-Oct-26], the market implies 33.8% revenue CAGR for six years. Our $152 base case implies 42% downside. Great company, untenable price. Our framework screens it as a **Hold** with a $151.29 blended target, 43% below the current price.*

HOLD	$151.29	-43%	$263.94
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

AI Capex Tailwind. WFE raised to $150B for 2026 [8-K guid]. Advanced packaging growing 50%+ YoY. Lam expects a third straight year of beating WFE growth.

Price Defies Math. At $264 [Mkt 16-Oct-26], the market implies 33.8% revenue CAGR for six years. Our $152 base case implies 42% downside. Great company, untenable price.

$6.72B	51.7%	37.4%	$1.82	$2.47B	$5.58B
REVENUE (Q4 FY26)	GROSS MARGIN	OPERATING MARGIN	EPS (NON-GAAP)	CSBG REVENUE	CASH

The moat is structural

Advanced packaging revenue growing 50%+ YoY on HBM and 2.5D/3D logic

Three scenarios make the valuation range explicit

The DCF values Lam Research Corp across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$116.04**	-56%
Base	50%	**$152.24**	-42%
Bull	25%	**$184.65**	-30%

Bear ($116.04, -56%): Growth disappoints and multiples compress; the $116.04 target marks the downside case.

Bull ($184.65, -30%): Execution compounds and the multiple rerates; the $184.65 target marks the upside case.

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The probability-blended target implies -43% upside

Blended target: $151.29 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -43% upside from the $263.94 reference price.

$151.29

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 22.4x [Mkt 16-Oct-26] DCF Base $152 [Mkt 16-Oct-26] FCF Yield ~3.5% [Mkt 16-Oct-26] DCF math implies 42% downside even with generous growth assumptions.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $151.29 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Advanced packaging revenue growing 50%+ YoY on HBM and 2.5D/3D logic [8-K guid]

Memory systems: NAND revenues doubled sequentially on 256+ layer migration [8-K guid]

CSBG at $2.1B quarterly run rate, margin-accretive recurring revenue [8-K guid]

What to monitor

Oct 21, 2026. Q1 FY27 Earnings (Two-Sided): $8.31B revenue and $2.21 EPS consensus. Test of $8.1B guide.

2026-2027. Memory Capex (Positive): NAND layer scaling and HBM demand driving etch intensity.

Ongoing. WFE Cycle (Two-Sided): $150B WFE in 2026 is a peak; any slowdown hits bookings.

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REVENUE (Q4 FY26)	GROSS MARGIN	OPERATING MARGIN	EPS (NON-GAAP)

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Key risks

WFE Cyclicality. WFE spending is cyclical; the $150B 2026 level may represent a peak, and any downturn would hit Lam's bookings hard. [10-K FY25]

Memory Concentration. Memory customers drive nearly half of systems revenue; a DRAM/NAND capex pause would disproportionately affect Lam. [10-K FY25]

China Export Controls. Export controls on advanced logic and memory tools for China restrict a meaningful end market. [10-K FY25]

Investment view

A 30%+ pullback toward our $152 base case would neutralize the Valuation drag and likely lift the composite into the high-70s. Conversely, a WFE downturn or Q1 FY27 miss on Oct 21 would cut Forward Growth and Trend simultaneously.

Hold. The $151.29 blended target implies -43% upside, balancing the $116.04 / $152.24 / $184.65 Bear / Base / Bull targets.

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Upcoming catalysts

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